Starting a Family Business

Creating a family business is an opportunity to work with those you most trust and care about. It can be very successful as long as it is set up and run correctly—as a professional business.

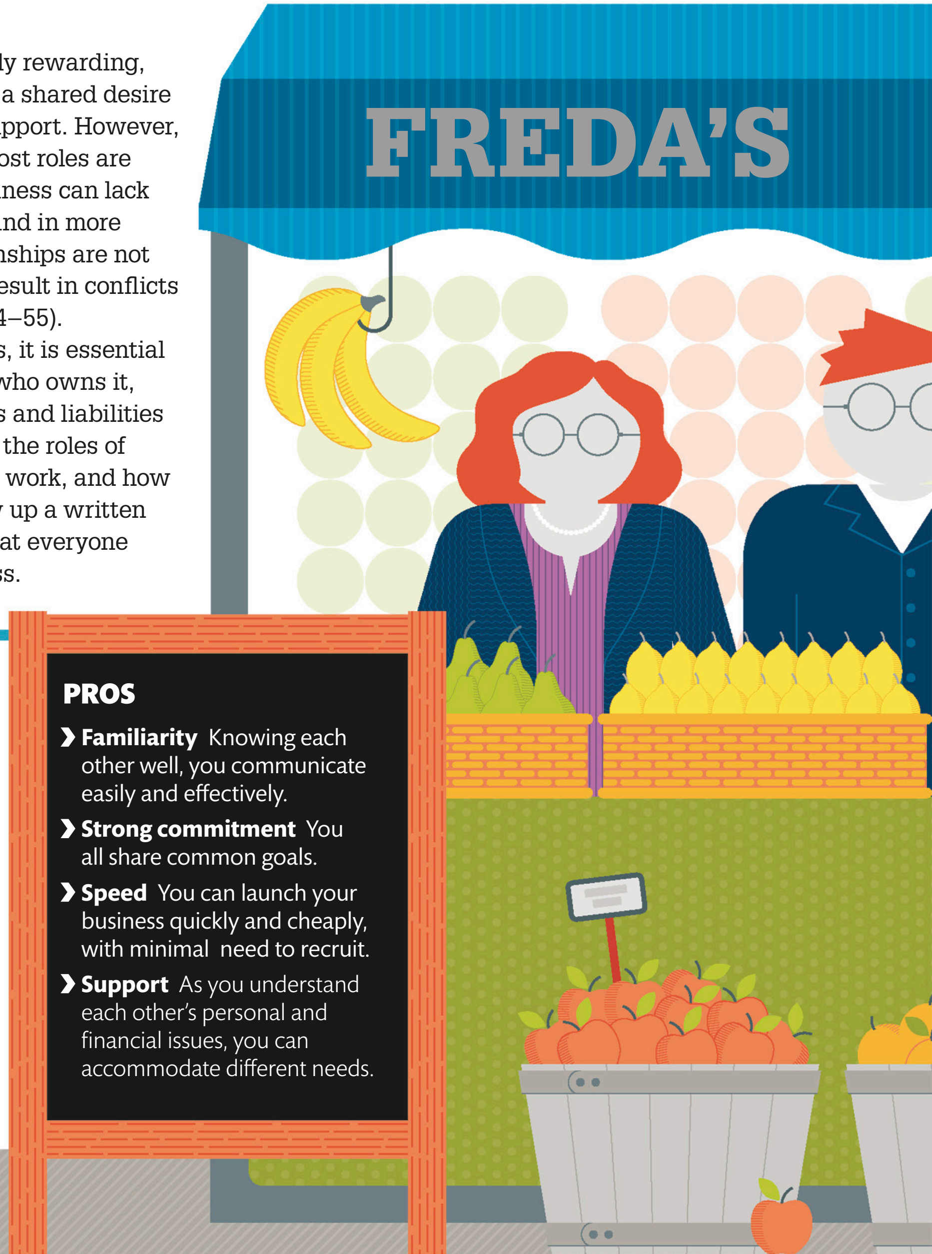
Working together

Creating a family business can be highly rewarding, and it offers many advantages, such as a shared desire to succeed and the benefit of mutual support. However, there are also disadvantages. Where most roles are performed by family members, the business can lack the breadth of skills and experience found in more diverse companies. Also, family relationships are not the same as working ones, which can result in conflicts that could harm the business (see pp.54–55).

To help ensure the business succeeds, it is essential to make some early decisions, such as who owns it, how it will be financed, and how profits and liabilities will be shared. You also need to decide the roles of everyone involved, when and how they work, and how they will be rewarded. To do this, draw up a written family charter together (see right) so that everyone knows what to expect from the business.

Is it right for you?

Setting up a family business is not always straightforward. Before you take the plunge, you—and everyone involved—need to weigh the pros and cons to decide objectively whether this is the right choice. A new business requires full commitment and a mutual determination to make things succeed. Families working together can be a potent force. However, if there are any areas of conflict, these will need to be settled at an early stage to prevent them from jeopardizing future success.



PROS

- **Familiarity** Knowing each other well, you communicate easily and effectively.
- **Strong commitment** You all share common goals.
- **Speed** You can launch your business quickly and cheaply, with minimal need to recruit.
- **Support** As you understand each other's personal and financial issues, you can accommodate different needs.